

The Social Radars

S3: Yuri Sagalov, Co-Founder of AeroFS

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Jessica: I'm Jessica Livingston, andCarolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

Carolynn, I am so excited because today we have on the podcast Yuri Sagalov.

Carolynn: Yay.

Jessica: Yay, Yuri. He was, just for listeners, Y Combinator funded him in the summer of 2010 for his startup AeroFS, which was like an enterprise collaboration and file syncing company. During AeroFS and afterward, Yuri was a part-time partner at Y Combinator, and then he was an angel investor and he's recently announced Wayfinder Ventures his new fund. So I can't wait to talk to him and learn more about that. Welcome Yuri.

Carolynn: Welcome.

Jessica: How are you?

Yuri: I'm good. How are you both? I'm so excited to be here.

Jessica: Well, we cannot wait to catch up with you because I feel like I've known you for a long time.

Yuri: I think you guys are the closest thing I have to family out west, I've always felt that way. And that goes really for both of you because I think I did my first ever Yom Kippur dinner in the Bay Area at your house or at your friend's house maybe even, Carolynn.

Carolynn: Yeah, I remember we picked you up in Oakland and we took you to our friend's house, the Snydermans.

Yuri: That's right.

Carolynn: I remember that pretty vividly actually.

Yuri: Yeah, yeah. And that to me was a welcome to the Bay Area and a welcome to the YC community because it was just like, oh, these people that funded me are also taking me into their homes. So it always felt very special.

Jessica: Aw, that's so nice. And you were pretty young, I had a look at your AeroFS application and you were 24 years old when you applied.

Yuri: I was 24 when I applied, yeah, we were in grad school.

Jessica: Were you at University of Toronto then?

Yuri: Yep, I was in University of Toronto.

Jessica: Did AeroFS grow out of a graduate school project or was it an idea that you had on the side?

Yuri: It was my co-founder's idea that he had on the side. And the story is actually, I personally think it's really interesting and a little bit timely, because I went to grad school because I wasn't sure what I wanted to do next. And I had this professor in undergrad, she was incredible, she actually just passed away a couple of months ago, it was very unfortunate and sad, but when I took her courses, she convinced me to apply and join her graduate program. And even then I was kind of like, "Oh, I don't know if I want to do that." I took some time off and then right before school started I messaged her and said, "Okay, I'll do grad school." And the next week, grad school started.

And she put me in touch with Weihang, who was a PhD student of hers, and he was a fourth or fifth year PhD student. And the point was for him to help me find a thesis topic. And meanwhile, he had been baking on this idea which was this distributed file system that he was working on nights and weekends. And I thought it was really, really interesting and we just started hacking on that on the side.

And I had known about YC and I'd always wanted to start a company. And we were working well together. The idea felt really interesting. And so I convinced him to apply to YC. I'd actually applied to YC before with a different idea, didn't get in, but still really thought highly.

Jessica: Really?

Yuri: Oh yeah. I applied to YC with, this is amazing, I applied to YC with one of my close friends, his name's Reynold, we did not get in. He went on to do a PhD at Berkeley and ended up co-founding Databricks.

Jessica: No way.

Yuri: And I went on and did my masters at YC, ended up co-founding AeroFS. We both ended up out here, but he's now the chief architect of Databricks.

Carolynn: What batch did you apply with the first company?

Yuri: I think it was probably summer 2009.

Carolynn: Okay, so there wasn't a huge amount of time in between.

Yuri: Yeah. No, this was-

Jessica: Wow. I just had no idea.

Yuri: Yeah. Yeah, yeah. It was very, very random. It may have been winter 2009. It was as we were graduating from undergrad and before I had accepted grad school.

Jessica: Okay. So this time we accept you and Weihan. And tell us what happened. So you move to Palo Alto?

Yuri: Mountain View.

Jessica: Mountain View, okay.

Yuri: We moved to 200 East Dana Street, which is this tiny apartment complex around the corner from the YC office on Pioneer. Yes,

Jessica: I took Dana Street all the time getting to the office.

Yuri: Yeah. We had no furniture, we had two inflatable air mattresses, two plastic tables and our computers, and I think probably the \$17,000 that we got for YC. And Weihan was married and had a baby at the time.

Jessica: Oh wow.

Yuri: And his wife was super supportive. We put it all on hold. And the two of us moved down to the Bay Area. But honestly, most of the money we were saving to make sure that we could send money back to his family in Toronto.

Jessica: Oh wow. Yeah, I remember he had kids, so he had a baby at the time. Oh my gosh, okay. And what memories do you have from that summer? It was a long time ago.

Yuri: Oh, there's so many.

Jessica: This was the one that Adora Cheung was in too, this batch?

Yuri: Yes.

Jessica: Because we just had her episode on and she was saying she made lots of friends in that batch and we were walking through a lot of the startups in it. So tell me some of your memories from that batch.

Yuri: Yeah, so I mean, I think that first of all, most of my closest friends in the Bay Area to this day are either from that batch or the batch before it or the batch immediately after it essentially. And the memories from the batch itself, I mean, the dinners were amazing.

YC back then was a little ... it was much smaller. I think our entire batch was 30 companies and maybe we had 60 or 70 people. And so the dinners were so intimate and I think the speakers were even more open than they are now. I remember Andrew Mason I think came to our dinner.

Jessica: Andrew Mason's great.

Yuri: And he was just going through it with Groupon and he had stories in there that were wild. I don't even know if I could share them now, but they were just truly honest stories.

Jessica: You know what, Yuri, that Andrew Mason talk, I will never forget either, it was one of the best talks.

Yuri: Yeah, I mean, he was being cloned I think left, right, and center by a bunch of competitors and he had choice words for every single one of those competitors. And I think the type of words that you would only hear off the record. So that was amazing. Demo Day was incredible.

Carolynn: Wait, where was it, was it in 320?

Yuri: It was at 320. And it was three days, and I think the last day was two sessions and it was during a heat wave.

Carolynn: That's right.

Jessica: Don't you remember, Carolynn, from the Adora conversation how she was stroking out and she kept seeing the heads bobbing up, and Demi Moore was one of them.

Carolynn: I do remember that, that's right.

Jessica: Yeah, heat wave, summer 2010.

Yuri: It was incredible. I just remember how by the third time I gave the same Demo Day pitch, which I think for founders now is just unthinkable to think that you gave the same pitch so many times, we were all so tired, it was so hot, it was in the afternoon at the end of August. I think everybody was just ... the investors didn't want to be there, we didn't want to be there, nobody was happy to be there at that point. But that was good.

Outside of that, I think everyone was very heads down. We would have these periodic get-togethers outside of the batch. I remember with Solomon Hykes and Adora and some of the other batch, maybe with Ewan as well. But we were all just working on our startups pretty aggressively at the time. And there wasn't anything to do in Mountain View, I actually think Mountain View was a good place to do this because it was very boring.

Jessica: Absolutely, no distractions.

Yuri: Yeah. After the batch ended, we actually kept the dinners going for a while, probably for a good year afterwards. And I think that that helped a lot and the community there helped a lot.

Jessica: How was AeroFS doing throughout the summer? Were you making progress on it and did you get funding after Demo Day?

Yuri: We had a very easy time fundraising. My Demo Day pitch, it's one of those pitches that I think at the time YC was obviously much less polished, now there's a very polished script for the pitches that is all around growth and all around your metrics, which I think makes a lot of sense, it's the right approach for founders. My Demo Day pitch was mostly like, we are two very, very smart graduate student engineers that should remind you of Larry and Sergey. And I literally, I think TG said this as a joke when I was prepping for Demo Day, where he's just like, "Oh, you should just put up a slide of you versus Larry and Sergey." And I was like, "That's a great idea." And I put up that slide. And I think that slide sold every investor. We raised-

Jessica: It's FOMO. FOMO.

Yuri: Oh, it was crazy FOMO. And I think it was the audacity to compare yourself to the Google founders. And so we raised a million on probably five million cap total, which was very high.

Jessica: Can you say that again, I didn't hear you, you raised what?

Yuri: A million on a \$5 million valuation cap. Do you hear me? Yeah, or is it shocking?

Jessica: No. Sorry, I did hear you, I'm just stunned at that valuation. Wow.

Yuri: We thought it was very high. The batch before us raised at three. In our batch, people were raising at three, four, and five. And so if you were raising at five, you were at the top quadrant. And we were doing well.

We did the Dropbox style launch during YCU where we launched on Hacker News with an announcement and without you being able to actually start using the product, just like, here's what we're building. And we got a ton of love from the developer community.

One of the things with AeroFS is it was catnip for developers. It was this really, really challenging problem that we were trying to solve. We sold it as this Dropbox by the enterprise tool. But the underlying thing was this very difficult distributed systems problem, which in retrospect, I was thinking about this recently, is just like, it was, we made the quintessential grad student mistake of we're making a solution in search of a problem.

We built this project as grads ... it was very sispy as we would say. We were building this as grad students, it was a cool research project, and if it worked, the technology would be amazing. But the customers, really what they wanted was Dropbox by the enterprise.

So that was our batch. During the batch, we didn't really, I think, have any sales. And we probably didn't close any sales until another year or two after that. But once we started selling, it was selling very, very well for a long time. And then over time, the product would always just have technological problems because it was just a very challenging engineering problem to solve.

Carolynn: Because I remember you guys were doing, if I go back into the files of my memory, I remember you guys were doing really well and you had an office in Palo Alto that you shared with Pinterest. I remember that.

Yuri: Yeah, when they were four or five people.

Jessica: So remind me what happened and did it ever get built by anyone else, your vision?

Yuri: It's interesting. So we were able to attract incredible engineering talent. Because this problem is so interesting to engineers, we were able to bring on some of the smartest people I've ever worked with. One of I think the first engineer on Google Maps who created the backend for Google Maps with Brett Taylor essentially joined us to work on this.

Jessica: Oh!

Yuri: Yeah. And we made a ton of progress on it, and we were able to close customers as well. I was closing six figure contracts with financial institutions, with security organizations, with government agencies. And we were deploying it. And it always had this thing where it would work really, really, really well for the first six months. And then because of the underlying challenges of the product, it would eventually start having issues. And I'd realized this pretty early on. And I didn't have any illusions around it. I felt that we should just focus on what the customers want here, which is they just want Dropbox for the enterprise. It could be centralized, it could be hosted, it's all fine.

Wen had a much more pure view of it, it was like he really loved the technological challenge around it. And it took me a long time to convince him that the technology doesn't really matter, it's the customer problem that we're solving. And by the time that we got around it, we got dozens of customers, but then eventually by the time that we got around to shifting it, the market just shifted under us. People got more and more comfortable with public cloud. They cared a little bit less about the on-prem angle of it. And so it's just like we weren't able to move fast enough to reorient ourselves.

Jessica: I was going to ask about the on-prem thing. That basically means it's on premises.

Yuri: Yes.

Jessica: For us non-technical people, it's like for the listeners, that means you were building a cloud for a company that was within the building, and that was supposed to be very secure.

Yuri: Yes. So this is, I mean, 2010, the cloud is still a pretty novel concept. And Dropbox is doing incredibly well, and businesses realize that this file sharing tool is coming in. But I mean, Dropbox is an incredible company, they built a \$10 billion business, it's an amazing business, but they never really took the enterprise very seriously.

And the enterprises needed a particular set of functionality for them to be able to actually use a product like Dropbox. And Dropbox was just not delivering on it. And part of it is they wanted it on premises. They wanted to own the data. They didn't want it to be on Dropbox's servers or on Amazon's servers. They really wanted it to be in their data centers. And this is actually true even today. There's a lot of businesses that want it ... they will want it in the private cloud and that's they just need to own it.

And I think if we had just focused on that, we would've actually built ... Box was already around and Box is an amazing business, and I think so highly of Aaron. But they did not have a file sharing solution. They were building this kind of old SharePoint at this point. And I think there was a real opportunity to just build Dropbox by the enterprise, which is what Box's trying to be, and what we wanted to be if we weren't so focused on the technology.

Jessica: Okay. That helps explain it. And then what happened? I remember Bloomberg was a customer I think.

Yuri: Bloomberg was a customer, yeah, I think at this point I could probably share some of the customers. Bloomberg was a customer, Palantir was a customer, I think we had Apple or teams within Apple as customers, teams within Tesla as customers, we had banks in Europe and government organizations as customers. And it would always work phenomenally well for the first six months or so. And then over time, you just run into the ...

Distributed systems are hard. And to try and explain it simply, I think the easiest way of thinking of it is Dropbox had this green checkmark. And the green checkmark meant that the file had been saved. And in the Dropbox model, it just means it went to their servers, it's there. But in our model, we had this distributed system, which meant that it had to go to all the computers. But sometimes some computers would never come online. And so you could never be sure that it went to all the computers. And so that was always a bit of an issue. And so doing something as simple as presenting a green checkmark would become very difficult the longer the product was live essentially. Does that make sense?

Jessica: That does make sense. Thank you. And so what happened with AeroFS then?

Yuri: So we ran it for quite a while. And we had these massive contracts and eventually we just saw the writing on the wall. We saw customers moving to the public cloud, and they

weren't adopting Dropbox, but they were starting to adopt Google Drive or Microsoft OneDrive or the other tools. So we tried pivoting, but at that point I think it was just a little bit too late. And so we actually ended up merging the company with another company in one of our investor's portfolios.

Carolynn: What year was this, Yuri?

Yuri: This would've been 2017.

Carolynn: Okay, so you'd been about six years.

Yuri: Yeah, the first three years we're building and selling and it's going well. And then year four, I can see that it's starting to actually go the other way. In year four and five, we're trying to fix it, but it's just not working. And year six, we wanted to try and ... we ended up merging it with another company.

And I actually became the CEO of the combined company. And at this point, I was, I mean, candidly, I was pretty tired. And I think that if I was doing this for myself, I maybe would not have done this. I had lunch or breakfast with an investor that was an early investor in the company, and he said this thing to me where it's like, "You're so kind, you're doing this for your investors, it's so thoughtful of you." And I was just like, in my head, I was like, I'm totally not doing this for the investors. I was very much doing this for the team.

Because we had a lot of people who were waiting for green cards, and I knew that if we didn't solve this and actually land the company safely, then people would actually lose their green cards. And so there was an opportunity to merge with another portfolio company called Redbooth. And so we merged with them, and I came in and I ran that combined company. And that company is still running today, it's a profitable business, it's a project management business. My VP of product ended up taking it over and he's been enjoying it.

Jessica: Is AeroFS still doing the distribution?

Yuri: No, we wound it down. When we went to Redbooth, I was just like, "Let's just focus on one product, one problem." And we integrated some pieces of it into Redbooth, some of the file sharing pieces. But for the most part, we wound down the product at that point.

Jessica: I have to tell a funny story, Yuri, because, I'm already laughing, right before we got on, Carolynn, do you still have the tweet up?

Carolynn: Oh, I think I do.

Jessica: Because I said, "Oh, I want you to tell me what happened and didn't you sell AeroFS?" And Yuri goes, "I know Paul tweeted about me this morning." And I just lost it because ... Read the tweet.

Carolynn: So the tweet is, 'when investors give up on your startup, they sometimes try to recycle you by forcing you to merge with one of their other portfolio companies. If an investor tries to make you do this, tell them, no, you don't owe them that'. And then there's more, I can keep going, he tweeted a couple more things.

Yuri: The advice is correct.

Jessica: The advice is correct. But I love that you knew that that was about AeroFS and you.

Yuri: Well, I guess, because we're doing an interview this morning, and so I figured that this was probably a conversation topic of what happened with AeroFS.

Jessica: And you were very correct because Paul and I at lunch, I was saying, "I'm interviewing Yuri later today." And I was like, "What happened to AeroFS?" And he's like, "I think his investors made him merge with one of their portfolio companies.

Yuri: No, no. They genuinely did not make me merge. And I think it was a good thing for them for us to do it, but I definitely did not do it for them. And I think they know I would not have done it if it was just purely for them because it's just kicking the can down the road. But what it did allow is it allowed some of the coworkers to ... we had a bunch of green cards on flight, and if we had done anything other than sell or merge, and if we had wound down the business, people would've ended up having to leave the country. And for me that was just like ... Some of those people have been with us from the very, very beginning. And I just like I was not willing to do that.

Jessica: You're a standup guy, Yuri, that's a big thing that you did.

Carolynn: How long did you stay CEO of the combined company after the merge?

Yuri: I essentially told the board that I would do it for half a year to a year. I didn't want to do it at all, but they're like, "You need to do it for at least half a year." So I said, "Okay, I'll do it for half a year." And I did it for about a half a year, and then half a year went by, I was like, "Okay, I'm still not excited. This is not what I signed up for." And so at that point we did a transition.

Jessica: And so then you were still a part-time partner at YC, right?

Yuri: Yep. So then I went to YC full-time, and I worked there as a visiting partner for 2018. And then 2019 I took the year off, that was the first break I ever had in my life.

Jessica: Tell me about this year off.

Yuri: The year off was amazing. It felt very frivolous at the time. It was even more amazing because the next year was 2020, but of course we didn't know this at the time. So we just traveled a lot. I grew up in Israel, so I actually went back to Israel for the first time. We went to Europe and spent a month in Europe. Gabrielle and I, we got engaged at that point. So it was wonderful. I played a ton of video games. My goal, I had this mental

model of I think good ideas come to you when you're bored or it's worthwhile to actually try and get bored once in a while because I just never had time to get bored. And so I really just wanted some time to just not work on a project, not do anything other, just enjoy myself. And I think at the time I was very much like I'm going to reflect on this and think I just wasted a year of my life. But of course then March, 2020 happens and I was so glad that I spent a year traveling.

Carolynn: Yeah, no kidding.

Jessica: Hearing that story, I am glad you spent the year traveling too. But I think everyone who has worked intensely on a startup for many years, once they've sort of wrapped up their startup and they're moving on and they think, what am I going to do next? They should take many months off if they can, if they can afford it.

Yuri: If you can, yeah.

Jessica: Because it just lets you sort of relax, un-clutter your brain and sets you up to succeed I think.

Yuri: I think so. I think that there's just value. I mean, in general, I think that as we got more devices and more online, there's just not a lot of time to be bored. And I think boredom leads a little bit to creativity. And when you're just jumping from the one thing to the next ... Sometimes you really know. I know some people that they wound down their company, they started the next company or they sold their company and they started the next company. This idea has been burning in their head for the last two years, and they just could not pursue it. But sometimes I think it's just worthwhile to just take a little bit of time off and decompress.

Carolynn: Did you come up with any great ideas while you were having this year of boredom, travel and boredom?

Yuri: I think, I don't remember most of the ideas I came up with at the time, but I do remember feeling like I, I don't know how to describe it, but I had this second time founder syndrome where I would kill every idea in my mind before I pursued it in any meaningful way because I had now known, I ran a company for eight years, and I ...

The first time around when you start a company, people tell you it's an eight to 10 year journey, and you're like, "I don't know what that means. I just spent eight years in high school and grad school. And that was fine." But the second time around, you really know what that means. And so every idea I would come up with, I would immediately be like, "Oh, do I want to spend eight years on it?" And I think that is completely the wrong mental model. And I recognize that as well, that it was the wrong mental model. Even then I just couldn't help it.

The right mental model is just like go work on stuff, work on some projects, make toys, and see where some of those things go. But I was still, I think maybe suffering from

burnout or something else. And I was just like, every idea, I was just like, "Nope, can't do this and nope, can't do that."

And that's actually why I ended up starting Wayfinder because to me it just felt like a way ... it wasn't like this intentional thing of, well, I'll go and become a VC. It was more like, oh, I'll just continue spending time with founders on my schedule until maybe I come up with something better. And now it's four years later, and this is, I think, the something better. But at the time it wasn't super obvious to me.

Jessica: It's grown organically because you are also making a lot of angel investments when you were visiting partner at YC and just obviously spending a lot of your time advising startups.

Yuri: Yeah. So even that, I mean, when you get to the Bay Area, and especially when I got to YC, you realize that, oh, you don't need permission to be an angel investor, you could just write somebody a 5K check. And that realization took me much, much longer than it should have. I probably should have realized it when Reynolds was starting Databricks or when Ben was doing Pinterest.

But thankfully by the time I was working at YC, I met Ryan from Flexport, he was literally the first founder I'd ever done office hours with. And you meet him and you realize what a great founder truly looks like. And it was just so obvious from that first meeting that he was going to build something great. That I knew from that moment that I wanted to give him money. I didn't know how, I didn't know what was allowed, what was allowed, but I just knew I wanted to give him money. And that was my introduction.

Jessica: This is actually really interesting. I never thought about how people would not understand how easy it is to just make an investment. I mean, obviously there's some securities laws, but for the most part, yeah, what's stopping you from just writing a check and supporting a startup founder?

Yuri: I think it's just realizing that you just ask.

Carolynn: You just ask, yeah. And you just can, that's so funny.

Yuri: Yeah. And it's not like it took me that long. I started working at YC part-time in 2014, so I've only been in the Bay Area for three or four years. But it certainly is not something that I would've ever thought of living in Toronto. I think it's something that you realize when you live here.

And by the time that I was at YC, I think I was seeing so many more people angel investing, that I realized that, oh, this is something that I can actually do. And so Ryan was the first one I ever invested in.

Jessica: Flexport.

Yuri: And then I invested in Eric's company. Yeah. Then I did Pebble. And then from there I started getting introduced to some LPs that would give me these tiny, tiny, tiny funds, they would give me quarter million dollar funds, and I would write 25K, 50K checks into companies.

Jessica: Really?

Yuri: And I never thought of myself ... Yeah, yeah. I didn't have that much money, but for me, this was a great way to invest in companies. And so I did about 50 investments that way. And I think it did very well. There's companies in there like Solugen, there's Vetcove, there's Boom Supersonic, there's Nowports, there's quite a few. I think my unicorn hit rate was over 10%, which I think is pretty good.

Jessica: Wow.

Yuri: Yeah. YC I think on average is 5%. From within that I'm able to do twice as well, so I feel pretty good about that.

Jessica: Midas touch list, Yuri.

Yuri: Yeah. Yeah, I need to submit. But that was my introduction to investing.

Jessica: Okay. And I'm going to ask you in one second about Wayfinder, we're going to get into that, but I have to do a little tangent because you mentioned Eric Migicovsky of Pebble.

Yuri: Yes.

Carolynn: Weren't you guys roommates in Palo Alto?

Yuri: Yeah, this is one of those ... So this is the YC in 2010, 2011, PG emailed me when I was in Toronto, and Eric just got accepted into YC saying, "Hey, you guys should meet." And he CC'd Eric and CC'd me. And so Eric and I went and had coffee in Toronto because we're still waiting for our visas to go through. And we just became good friends from that moment. And so then we became roommates, and then I became an investor in Pebble. And actually I think I became an investor first, and then we became roommates. And then obviously he went and worked at YC. No, it was great, I mean, it's like one of the things you learn as an angel investor, it's so good to invest in your friends. It's the most fun. Then I went to work at YC, then he went to work at YC. I even officiated his wedding.

Carolynn: You did? Oh, I did know that. Yes.

Yuri: Yeah, yeah, yeah.

Carolynn: That's so sweet. And I remember, this is the most random memory I've ever shared on The Social Radars, you had a Jack and Jill bathroom in your apartment.

Yuri: That's right.

Jessica: I had never heard that expression.

Yuri: Yeah. Yeah. I had never heard of it until I moved into that apartment. And I was like, "Oh, this bathroom is shared with both bedrooms." But I think they're very common now in houses.

Carolynn: Yeah, I've seen them, I've seen them.

Yuri: But yep, Eric and I even shared the bathroom.

Jessica: Sorry, I know that's so random. I just can't help myself sometimes. Okay. So you've done tons of angel investing at this point, and you say I'm going to make this official and have my own fund. So tell us about how you started Wayfinder.

Yuri: Yeah, so at the end of 2019, I was essentially, I had this fork in the road of three options, I was either going to start a company or I was going to join a VC fund or I was going to start a VC fund. Starting a company, I just like, there was nothing that I was ready to commit myself to. And so I was looking at the other two options. And I spent a lot of time talking to a lot of other VC funds about joining as a partner. And I got really close with a couple. And I couldn't do it.

I listened to the episode that you did with Adora, and Adora was very kind to mention me and my fund, and also mention the fact that she thinks I probably hate calling myself a VC. And I thought to myself, how well she knows me. Because I really do, I hate calling myself a VC. It doesn't resonate. And so the idea of going and working at a VC fund and becoming a VC, it was just like I couldn't do it. And the politics of it didn't appeal to me either.

And so I said, "Okay, I'll just do my own thing." I'll continue doing what I used to do as an angel, but I'll do it a little bit more professionally. And so my thinking was that I was going to write checks that are a couple of hundred K similar to what SV Angel was doing. But I would take a little bit more of a hands-on approach and do what I used to do at YC, which was do office hours. And specifically where I thought I could be helpful to founders is in the founder-led sales, when they're doing the zero to million dollars in revenue before they've hired any salespeople or before they've ... when they're the ones selling, they're coming up with pricing, they're doing pilots. I had so much experience with it, and I made mistakes and learned a ton, and I thought that I could actually help founders avoid some of that. And so that was the thesis behind Wayfinder fund one, friendly checks, help with sales, focus on B2B.

Jessica: Because you learned the hard way how difficult enterprise sales were.

Yuri: Yeah. Yeah, I did. I made some mistakes, but I also ... It's interesting, this is going to sound braggy, I actually think I was really, really good at founder sales. It's funny, two days ago, somebody messaged me on LinkedIn who was one of my very, very first customers. And just like he wanted to catch up. Because I think that sales is always a very human business, and we just became friends, and we haven't talked in a while, and

he reached out to me. And I think it's rare to be able to do that type of thing in a sales relationship and be genuine about it. But for me, every customer was not just a sale, it really was a valuable relationship.

And so that part of it, I did phenomenally well. And the first customer we sold, I was really good at ... I would sell ahead of where the product was. The first customer we sold, we didn't even really have an enterprise solution ready to go. But I just went and sold it anyway. And then we went and built it. And I think that's important for founders to do. And so I thought that I could help founders make the same transition.

Jessica: So you're pretty hands-on then in your new fund?

Yuri: It's as much as founders want to use me. I offer them all access to my calendar, they can book office hours with me when they want. They don't have to. I don't want to ... It's like YC, it's like, if you want to talk to me, come and talk to me. If you don't want to talk to me, that's okay as well, I'm not going to take it personally. I definitely don't want to be hovering over you and telling you what to do. That's not my job.

Jessica: It's so popular now to start a fund and it's pretty easy, tons of people are doing it, even people outside of Silicon Valley. What advice would you give to founders to sort of sift through this mass of newish funds and how can they tell the good ones apart from the bad ones?

Yuri: So I actually think that it was really, really easy to start a fund in 2020 and 2021, and it got significantly harder to start a fund in 2022. And I think for founders, this is especially important because if someone is investing from a first-time fund, there's a real chance they're going to have a very difficult time raising a second fund unless they're really good. And a lot of those people that started a fund when it was really easy to start a fund, I think are going to go do something different in the next year or so, just because the market has shifted so much.

But even the ones that will raise a second fund, I think you just want to ... if I was a founder, if you're looking for someone to be helpful, I think ask for references, ask for portfolio founders that they've helped. When founders ask me that, I say, "Well, here's every single one of my companies, you tell me which one you want to talk to and I'll introduce you." Or you can just go and reach out yourself if you want to, I'm an open book on these things.

Jessica: Let's hit that point for new founders. It's not rude at all to ask for references like, "Hey, can I talk to one of your other portfolio companies?" Or like you said, just reach out directly to gather that feedback. It's not considered bad form at all to do that.

Yuri: No, no. In fact, I think very highly of it when the founder ... I think it's a good signal that you're thinking smartly about the investors that you're trying to bring on. So I think the founder should definitely ask for a ... You don't need to ask for 10 references, but ask for a reference or two.

And some of the references that I've enjoyed when founders have asked me is, and I think they are important references to ask, particularly from bigger investors, is can you connect me with a founder where it didn't work out? Because investors are always really great to work with when things are working well, but some investors can be really, really bad to work with when things are not working well. And you don't really want to optimize for that, you want to optimize for the case when things are going to be great. You generally want to think about your company succeeding, not failing. But I think it is helpful to know that if you're struggling, if you're on the struggle bus and trying to figure out and pivot and figure out what you want to do, you want to know that this investor is not going to be breathing down your neck and stressing out alongside with you.

Jessica: Absolutely.

Carolynn: Yuri, what would you say is your best source of lead gen pipeline, is it your existing portfolio companies, your friends, because you obviously have a huge friend network of startup founders, what's your best source of new investments?

Yuri: Well, I think that those are so similar, a lot of my portfolio companies are my friends. And so I think that the answer is, yes, it's both.

Jessica: It's all of the above.

Yuri: Yeah, I love introductions from portfolio companies, genuinely love. Some of my best investments came in from founders within my network who came in and said, "Hey, you should meet these guys." I also personally still spend a lot of time on YC companies just that are going through the batch. And I think that the quality of the companies is as high as it's ever been. And so for me, I really love just sifting through and meeting teams and spending time with the teams. So it's probably 50:50, 50% of it is just me spending time on YC companies, and 50% of it is just referrals.

Carolynn: Yeah, that makes sense.

Jessica: Are there any experiences that you had at AeroFS in terms of the way an investor treated you that you vowed, "I won't do that if I am an investor"?

Yuri: No, none of my portfolio investors, no one that has invested in a company, every single investor that I had at AeroFS was incredible, genuinely incredible. Many of them became LPs in my fund, and they were my first believers in the fund, and that was incredible as well.

I did have along the way experiences with investors that were crappy experiences. I had one investor who just got up and left. Honestly, in retrospect, I wasn't really ready for the pitch, but he just rudely got up and left, and I don't think he needed to do that. I had one investor who signed the safe, or not safe, it was convertible notes at the time, and just never wired for a month. He emailed me saying, "The wires in the mail, wires in the mail, wires in the mail."

Jessica: If I had a dime for every one of those situations, I would be very rich.

Yuri: Yes. Yeah.

Jessica: Don't we cut those people off from YC, C. Levy?

Carolynn: Oh, no, no, no, we don't have to worry about it any more because of the way the safe is drafted. It kind of auto terminates if no money comes in. But I'm just saying, my point is, investors do this on the regular, and it's very weird. And I don't think these are investors that are necessarily the ones that come to YC Demo Day. These are out in the ecosystem or out in the not our ecosystem, but outside of, and they just do this, and it's so mind-boggling to me. It's like, don't sign it and don't say you're going to do it if you don't have the funds.

Yuri: Yeah, I think that in 2010 a lot of people were still just figuring it out, including the angel investors, where they were trying to raise funds, or I don't know what they were doing, maybe they were doing SPVs. But I heard this investor did this at least twice because I know of another company that this happened to, the batch afterwards. And when the founder told me that story, I actually asked him "is it this investor?" And he was just like, "How did you know?"

Jessica: Wow.

Yuri: Yeah. But outside of that, I never was subject to truly horrible investor behavior. I was always very fortunate. And again, I can't emphasize it enough, my seed investors, my series A investors, my series B investors, they were all amazing and incredibly supportive every single step of the way in the company.

Jessica: You are so lucky, dude. Do you understand how lucky you are? I feel like there are so few founders that would say that sentence.

Yuri: I think that now that I'm on the investor side, and I have so many founders that I work with, and I've seen so many horror stories firsthand or secondhand, I guess, through the founders, I realize how lucky I was. And I just thought that that was how most people had it at the time.

Jessica: Do you like to co-invest with anyone specific? I'm just curious.

Yuri: For sure, I love to co-invest. I love to co-invest with friends. There's a number of other angel investors who are great. Some of them are now running funds. And it kind of depends on the opportunity. I love to co-invest with Chris Howard, who's been investing in YC companies probably for 15, 16 years, and has a new fund called Ritual. My friend Chris Golda, who is an angel investor and is very thoughtful. His co-founder, actually, funny story on that one, his co-founder, Mike Montano, helped us a ton with our YC application back in 2010.

Jessica: God, what was their company? Chris? What was Chris and-

Yuri: BackType.

Jessica: Backtype, yes.

Yuri: And they sold to Twitter and Mike actually became VP of engineering at Twitter and did incredibly well at Twitter as well. And Chris went on and became an angel investor. Andrew Miklas, who was in my YC batch.

Jessica: Yeah, PagerDuty.

Yuri: Is an active angel investor. Yeah. So I co-invest with them frequently. And then there's also just a lot of funds that are very active.

Jessica: There's a story that I have about Chris Howard that I'm going to hope I can tell correctly. Chris worked at a fund before he started his-

Yuri: Ignition.

Jessica: Ignition. Okay. So Chris Howard lived up in Seattle, and was not a partner yet I don't think.

Yuri: That's right.

Jessica: He was more lower level at Ignition. And he used to come to Demo Days. Tons of investors used to come to us and say, "How can we work more closely with YC?" And what that translated to was, 'will you tell us who the good companies are before Demo Day so we could be sure to invest in them and we don't have to do the work'. And we'd say, "You can work more closely with YC if you just invest in YC companies, then we'll be working more closely together."

So Chris Howard actually earnestly came to us and said, "I'd like to work more closely with YC." And we said, "Well, you should invest." And he said, "Okay, I am going to make a commitment." I think he chose five startups. He's like, "I'm going to try to convince Ignition, we're going to invest in five companies a batch." Or maybe it was five companies a year, but there were metrics. And he actually followed through on that.

Yuri: He did. And he would come and crash on people's couches. He was living in Seattle, and he would just show up and crash on people's couches around Demo Day so that he could go and meet companies. Because he was also just very junior and getting started at that time. And I don't even think that Ignition was going to give him money for a hotel room, so he would just-

Jessica: Wow. I didn't know that part.

Carolynn: That's impressive. Crash on couches. Borrow your Jack and Jill bathroom.

Yuri: Exactly.

Jessica: But of course then he went on to start his own fund, it was Fuel Capital.

Yuri: He started Fuel, yeah.

Jessica: And do very, very well for himself on his own.

Yuri: And he just started a new fund called Ritual, which is even ... He calls it going back to basics. So he really wants to do small friendly checks because at Fuel he was writing bigger checks. And he I think just enjoys being very, very collaborative with people.

Jessica: Everyone comes back to the early stage stuff, Yuri.

Carolynn: The good stuff.

Jessica: It always happens.

Yuri: I know, I know.

Jessica: Because it's so much fun. So Yuri, you have been a founder, you've worked at an investment firm, YC, you have your own fund, you've played all over the landscape of Silicon Valley. What advice do you have for founders?

Carolynn: That's a broad question.

Yuri: I think that-

Jessica: I know, I know.

Yuri: I mean, honestly, the advice is very basic and has been the same advice I think for as long as YC has existed. And I think it's good advice. It's just build something that ... make software, talk to users, build something people want.

Most problems get solved when you have customer feedback, whether it's interpersonal problems within the startup or other challenges that you're facing. If you have customers, these things go away. And the best way to get customers is to go and talk to users. Some people are just ... really, really will do anything to avoid trying to go and talk to customers. And I would just say, just go talk to them and be honest about the feedback that you're getting from them.

Beyond that, I think everything else just will typically fall in line. If you have customers, the investors will follow. Sometimes it will take them some time to get there, but they will follow. Or you'll get profitable and that'll be okay as well.

So I genuinely think that that advice is timeless. And it was good then, it's good now. I don't think that you should chase trends. I think focus on ... build something that you yourself want is always good advice, because at the very least you'll be your own

customer. And so regardless of how many other people will want it, you'll be happy. And yeah, that's probably the best pieces of advice that I have.

Jessica: Can I ask one other question, because you're such a good investor, are there any themes to the types of ... what qualities in a founder when you meet them sort of jump out and you say, "Oh, that's exciting"?

Yuri: Yeah. I don't know how to describe it. I mean, it's just like sometimes you meet people and you're just like, "Man, this person will just ... there's nothing that will stop them." Ryan felt that way. You meet him, you do office hours with him, or you do a meeting with him and you just know that he will go to the port and will convince the state to change the rules in order for him to be able to succeed or for his customers to be able to succeed. I think that Adora said to me, "Well, it's the founders that go through walls." And I think it's very much that characteristic.

I think that, honestly, I think ... it's the determination. It's probably the most important characteristic in founders because everything ... if you're determined and if you will just continue going and continue trying, you will land on something that works. And I think that when you combine that with some domain expertise or something that you uniquely know, then that really becomes a potent and unstoppable mix. So for me, when I talk to ... LPs like to ask the question of what do you look for in founders? And I always talk about-

Jessica: Yeah. Sorry. I'm embarrassed I asked the big LP question.

Yuri: I mean, YC sees more founders than any other VC in the world. And I do think that investing is such a repetitive business. The more you see, the better you get. And so I feel very fortunate to have been able to see thousands of founders while I was there.

And for me, the things that I think about is velocity, how quickly are they moving? How quickly are they iterating between conversations? Their communication skills, how well are they able to storytell? Because I think that that is incredibly important for them to ... When they're pitching me as an investor, they're selling and telling a story. When they're pitching employees to join the company, they're selling and telling a story. When they're pitching customers, they're telling and telling a story. And so the ability to explain that story in a different way to each one of those stakeholders is important.

But the most important thing still is just determination. You just want to invest in people that you believe that, whether you're there for them or not, they will succeed. And you almost are just like, "Please take my money because you are doing me a favor by taking my money." And that is much more of a feeling, I think, than a clear characteristic.

Jessica: Yeah, gut instinct.

Yuri: I would love to ... I mean, you've seen as many founders as anyone, what do you think it is from your perspective?

Jessica: Well, I was thinking that I usually think the same things, it's an insane feeling of determination. They're going to succeed with or without your investment or your help.

Carolynn: Formidability.

Jessica: Formidability.

Yuri: Yes.

Jessica: Also, I have to throw this in only because I've seen so many failed founders, open mindedness, sort of flexible mindedness. You can take feedback and sort of change your idea if you need to. The problem is you can be really determined, but if you're determined without being able to be flexible, you might run into a wall and then you're never going to succeed. So I think those two are sort of important. And talking to users. When you meet a founder who does not take the time to find out what their users actually want or try to launch their product so that they can get user feedback, it's always a bad sign.

Yuri: Yeah. I always think, when I think about velocity, for me, oftentimes when I talk to teams, it's just like they don't have any product yet. And so the velocity is more in terms of how many users did you talk to? Sometimes I'll talk to founders and I'll say, "Well, can you go talk to a hundred users by the next time that we talk." And I find that the good founders, maybe they'll come short, maybe they'll talk to 50, 60, 70 users, maybe they'll exceed, but they will have learned something unique and there'll be some insights to have at the next conversation. Where it's like the bad founders you meet and they're like, "Oh, this is why I need to raise \$2 million so I can hire some people to go and talk to users." And it's just like that never ends well.

Jessica: Yeah.

Carolynn: I have a really random question, if I can ask, Yuri, when you got to YC, did you go and look at your application?

Yuri: Yeah.

Carolynn: Because I was looking, because I was just sitting there laughing, I'm like, "RTM with the big no."

Yuri: Oh, no, no. I don't know if I saw that.

Carolynn: Oh, you didn't?

Yuri: I don't think I saw that. No, no.

Jessica: Are you asking him when he joined YC as a partner?

Carolynn: Oh, sorry, yes. I should have clarified, yes.

Jessica: Visiting partner. Did he go in and look at the interview notes on his application?

Carolynn: Yes.

Yuri: No, no, no. I didn't want to see what it was like before.

Jessica: Holy shoot, I guess, the cat's out of the bag.

Yuri: Yeah, yeah. But that's okay.

Carolynn: Harsh.

Jessica: Harsh, Carolynn.

Carolynn: I just assumed you knew. But the reason it's funny is because RTM has nos on everything.

Yuri: RTM asked us the best questions in the interview on the technical side for sure because it actually is very close to his research area. And what he probably realized is that what we're trying to do is potentially impossible. There's a theorem called the Cap Theorem, which I'm not going to get into, but it essentially stipulates that you cannot achieve all the things that we wanted to achieve. And so he probably knew that going in, it was just like, they're going to bang their head against the wall on this, and it will be very, very difficult.

Jessica: He says the P2P part sounds like a pain, good programmers.

Yuri: Yep.

Jessica: The P2P parts.

Carolynn: Wise RTM.

Yuri: Which is exactly correct. The P2P part was a huge pain. I met with Drew Houston early on, and I think he wanted to see what we're doing, and I was curious to chat with him. And he also was just like, "Oh, we thought about the P2P part. And the P2P part sounded like a pain." But I was very much like, "Oh, what do you know? You just don't want me to work on this." And I'm sure it was a mix of both. And it was very much a pain. I would probably have not done it again if I had to do it.

Carolynn: That's funny.

Yuri: But again, it attracted incredible talent. It's just one of those catnip problems that we were able to get some of the smartest, smartest people in the world to come and work with us on it.

Jessica: How many employees did AeroFS have at its peak?

Yuri: I think we were probably around 40 people at its peak, we were never massive. We never outgrew the Palo Alto office, so we're probably around 40, 45 people at the peak.

Jessica: You grew into Pinterest's side though, because that was-

Yuri: We did.

Jessica: They abandoned Palo Alto, very sadly, and moved up to San Francisco, and you took over their whole office.

Yuri: That's right. And they didn't want to leave Palo Alto, they really wanted to stay in Palo Alto. I want to say this is 2013, 2014, maybe a little bit later. And they were growing very well. But of course, Palo Alto at this point was becoming Palantir Alto.

Carolynn: Never heard that.

Yuri: It was just every building over 5,000 square feet was leased by Palantir. And so there was literally no space available. I think the same thing happened with Stripe when they outgrew their space. And the same thing happened with a number of other startups at the time. You had to move to San Francisco. I still personally think that Palo Alto is much more magical than SF for building a startup.

Jessica: Yuri, you and I are cut from the same cloth, because as Carolynn will attest, how often do I obsessively ask people about Palo Alto back pre-

Carolynn: You do a lot.

Jessica: I do all the time because I loved it. I loved it, it was magical. And founders would be walking up and down University Ave getting lunch, and you bump into people because it's such a small little area. It was just such a great place to work without tons of distractions.

Yuri: It was the best. And Stamford's down the street, and the cafes were always full with founders. I remember when we came out for YC interviews, we immediately went to Coupa Cafe and just we were sitting there and everyone was working on a startup. And for two guys coming from Toronto where nobody understood what a startup was, this was just the most magical place in the world.

And I think obviously San Francisco has won, but I don't think San Francisco quite has the same magic because it's just not as walkable as Palo Alto and everything is siloed in neighborhoods, and maybe within your neighborhood you see people. But if you were in Palo Alto, you would run into everyone. And it's just a much more, I think, walkable city with this center of gravity around University Avenue. That has unfortunately been hard to replicate I think.

Jessica: Have either of you been back to check the vibe of Coupa recently?

Yuri: Yeah, it's very sad.

Jessica: Very sad.

Yuri: But here's the thing, there are now so many coffee shops in Palo Alto.

Jessica: Oh yeah, that's Palo Alto.

Yuri: There's Verve and Cafe Venetia. Maybe it's not very sad, we could take another pass at that one. Do you want to-

Jessica: Well, Paul used to take our oldest son to Coupa every morning for breakfast when he was a little kid. And he'd get oatmeal. And he'd go there every day. I'd often go to lunch there. We'd go to lunch. And I have not, anytime I come back to visit Palo Alto, I don't go to Coupa.

Carolynn: No, that is very sad actually, just that story alone is very sad.

Jessica: I know, it's sad. I'm going to go.

Yuri: I used to pop in periodically and it's just like it doesn't have the ... I mean, I want to emphasize the Coupa founders, the people that own Coupa have always been so friendly to startups. They were the first ones to try every single startup product out there.

Jessica: Oh yes. Pay for your coffee with Bitcoin.

Yuri: Yeah. But something I think that people, both because Palo Alto's vibe has shifted a little bit from startups, and because there are now so many coffee shops in Palo Alto, I think that that has shifted a little bit.

Jessica: Yuri, I had so much fun talking to you.

Yuri: Likewise. It was really, really great to catch up. Thank you for inviting me.

Carolynn: Thanks for coming.

Jessica: You're welcome. Thank you so much for coming on the show today. I think our listeners are going to really enjoy hearing from you. And congratulations, this is now your second fund.

Yuri: Second fund.

Jessica: Okay. For Wayfinder Ventures, every founder out there take a note, Wayfinder Ventures. Okay. And I think it's awesome.

Yuri: Wayfinder.com.

Jessica: Wayfinder.com. Great catching up with you. And I look forward to seeing you and Gabrielle and meeting your son soon sometime.

Yuri: Yeah, I would love for you to meet him. He's growing up so fast, it's incredible. He's seven months old in a couple of days from when we're recording this. It's just crazy. Yeah. It's going by a little too fast.

Jessica: It goes so fast. And it will continue to go fast. So enjoy all the moments.

Yuri: Thank you.

Jessica: All right, Yuri, we will hopefully catch up with you soon. Thanks again.

Carolynn: Thanks Yuri.

Yuri: Okay, thank you. Thanks again for having me.

Jessica: Bye.

Carolynn: Bye.

Jessica: Oh, Carolynn, I loved catching up with Yuri.

Carolynn: I think he was maybe the first YC founder that I socialized with. Obviously I knew a lot of YC founders just from working with YC before I joined YC. But I think Yuri might be one of the first that I actually socialized with outside of work. And he's just so ... I have a special place in my heart for Yuri. I just think he's the best.

Jessica: I have a special place in my heart for Yuri too because he's such a great person. And he's super smart. He has such a high level of integrity too. I mean, what about that story? I did not know this, that the investors didn't force him to merge AeroFS with this Redbooth company. He did it because he didn't want his colleagues and people to get deported.

Carolynn: To get deported. Exactly. No, that's really nice.

Jessica: I mean, talk about taking it for the team.

Carolynn: No kidding.

Jessica: Big time.

Carolynn: No kidding. Yeah. I actually, I thought also super interesting, and I guess I've known this, but he articulated it in a great way, when you're working on a really interesting, challenging problem, you're going to attract really smart people who also have that drive to like, "I got to fix it, I got to work on it." It's this weird kind of innate, or not innate, but auto recruiting. Because recruiting is really hard and obviously hiring is really hard. But

it's like you almost have this advantage, you're working on something that may actually never work out, but you're going to attract all this talent. And as he was saying, these people all went ... a lot of them went on to do really impressive things. That's a great network to have.

Jessica: I'm so glad he's an investor now. I just think he's had so much experience advising YC startups and his own angel investments. And I think he genuinely loves it.

Carolynn: I think so too.

Jessica: Which is a great thing.

Carolynn: Yeah. One thing we didn't ask him, I thought of and I forgot to ask, it's like how ... does he have any clue what he might do once he's done with ... once the investing thing, he's kind of like, yeah, been there, done that, what would his third act be? And that's a hard question because who really knows?

Jessica: Yeah, who really knows C. Levy?

Carolynn: Yeah. But I just think, I don't know, maybe it's more like, "Why bother? I'm so happy doing what I do now. I don't need to be thinking about that."

Jessica: But also, he is a very technical person, so you never know five years from now.

Carolynn: Right. Yes. Thank you for helping me with that thought. Yeah, that's what I was thinking. He's clearly got the skills, so will there be another thing that he feels like he wants to do at some point?

Jessica: You never know. It'll be exciting.

Carolynn: You never know.

Jessica: And I look forward to seeing how things unfold with Yuri. All right, C. Levy, I will talk to you next week.

Carolynn: See you next week. Bye.

Jessica: Okay, bye.